

GRESHAM'S LAW

The monetary principle "bad money drives out good" was formulated by British financier Sir Thomas Gresham (1519-71). He observed that if a country debases its currency—reducing the precious metal in its coins—the coins would be worth less than the metal they contained. As a result, people spend the "bad" coins and hoard the "good" undebased ones.

16 billion
the number of bitcoins
in circulation in 2016—
worth \$9 billion



1553

Early joint-stock companies

Merchants in England began to form companies in which investors bought shares (stock) and shared its rewards.



1694

Bank of England

The Bank of England was created as a body that could raise funds at a low interest rate and manage national debt.

1775

US dollar

The Continental Congress authorized the issue of United States dollars in 1775, but the first national currency was not minted by the US Treasury until 1794.



1696

The Royal Mint

Isaac Newton became Warden and argued that debasing undermined confidence. All coins were recalled and new silver ones were minted.



1999

Euro

Twelve EU countries joined together and replaced their national currencies with the Euro. Bank notes and coins were issued three years later.



2008

Bitcoin

Bitcoin—a form of electronic money that exists solely as encrypted data on servers—is announced. The first transaction took place in January 2009.

